P220/1

ECONOMICS

Paper 1

July/Aug. 2026

3 hours

WEST NILE SECONDARY SCHOOLS EXAMINATION COUNCIL

(WENSSEC)

Uganda Advanced Certificate of Education

ECONOMICS

Paper 1

3 hours.

INSTRUCTIONS TO CANDIDATES:

The examination paper consists of two sections A and B.

*It has **four** examination items.*

Section A has two compulsory items.

Section B has two items. Respond to only one.

Respond to three items in all.

*Any additional item(s) responded to shall **NOT** be scored.*

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Turn Over

SECTION A

Item 1

Various combinations of two commodities namely textile and foodstuff can be produced in a country when all the available resources are efficiently employed using a given desired level of the technology. This concept can be used to illustrate economic growth. A shift of the curve to the right denotes economic growth while a shift to left means the size of the economy has reduced.

The amount of goods and services producers are willing to offer for sale in the market depends upon several factors. Asiku is the largest supplier of beef and dairy products in Pawor town council. He rears hundreds of cattle on his 5 acre farm using local herdsmen. After realizing that his supply was not meeting the local demand, the contacted the District Production Officer of Madi Okollo to help him address the challenge because the drop in sales was also affecting his profit margin.

Tasks

(a) Analyse the factors that cause the curve to shift to the right and to the left.

(b) Advise the District Production Officer on the measures he can propose to help Asiku resolve the challenge he is facing.

Item 2

According to the National Housing and Population Census report (2024), Karamoja sub-region has the highest proportion of households living within the subsistence sector at 70.9%. Odengwar's household produces few commodities for home consumption only and he is unable to provide all the basic needs of his family. This is the situation in most households. The chairman LCV of Karenga district has tasked the District Planning Officer to find ways of getting more households into the money economy.

Meanwhile, Majid is the only hardware dealer in Karenga town council. Consumers have realized that he charges higher prices than those in Moroto town

nd yet it is difficult for them to transport the products from there. The consumers, through their association have complained to the District Commercial Officer about this exploitation. The District Commercial Officer now has the task to ensure that normal prices prevail in the market.

Task

(a) As a student of Economics, suggest measures that can be adopted to solve the challenge of many households being in the category stated in the above scenario.

(b) What intervention can the District Commercial Officer put in place to address the concerns of the consumers in the region?

SECTION B

ITEM 3

Uganda's population increased from 25,545,090 in 2020 to 45,905,417 in 2024. This shows a rapid rise that has far – reaching negative implications on social and economic infrastructure, employment, utilization of resources and standard of living. Economic analysts have observed that the current trend of population growth is not sustainable and have tasked officials in the ministry of finance, planning and economic development in partnership with the population secretariat to design measures that can optimize population.

Meanwhile, rising youth unemployment is a matter of concern for Uganda as a nation. Much of this crises arises because of unpredictable climatic factors that have made it difficult to create jobs in the agricultural sector and agro processing industries. As a result, majority of the youth work for just a few months and become redundant for much of the year. Youth leaders have written to the state Minister for labour to implement strategies that can help to alleviate this challenge.

Turn Over

Tasks:

(a) Suggest measures that officials in the Ministry can put in place to alleviate the challenge in the scenario regarding population.

(b) As an economist, make a presentation that can guide the state minister as she sets out to address the concerns of the youth on employment.

Item 4

A 2021 report by the inspectorate of government estimated that teacher absenteeism cost the country UGX 180 billion in 2019 alone. More recently, a senior Human Resource Officer at the Ministry of Education and Sports, Mr. Raymond Pedo suggested that one of the reforms that will curve teacher absenteeism is to pay teachers basing on their daily attendance. Leaders of teachers Unions and other education stakeholders warned that the policy could do more harm than good, citing welfare challenges, system inefficiency and fears of victimization of teachers.

Relatedly, Uganda has many of its citizens who are involuntarily jobless. This is caused by fundamental shifts in the economy. For instance, there is a mismatch between skills workers possess and skills demanded by employers. This is often driven by advancement in technology or changing industrial needs as well as industrial decline. Economic analysts have appealed to the Minister of state for planning to urgently intervene to ensure the issues affecting the citizens are addressed.

Task

(a) Evaluate the merits and demerits of the proposal of the senior Human Resource Officer on the education sector in Uganda.

(b) As an advisor to the state Minister for planning suggest possible solutions that can be applied to address the challenge in the scenario .

END